

DEKUN PROJECT 250033BC: FINDINGS REPORT

Fire restoration and remodel, 361 Arroyo Dr, S. San Francisco. Contractor: Restoration Specialists, Inc dba Dry1out (CSLB #993442). Prepared August 10, 2026 from: Change Orders 1-3, State Farm estimate 05-80C1-98PC, payment records, CSLB license record, and 33 pages of email correspondence.

ACT NOW - IN PRIORITY ORDER

1. Deposit or reissue the \$7,274.77 State Farm check (issued Feb 4, 2026, still uncashed). It is the ENTIRE remaining insurance payment and is at the ~180-day stale line right now. Adjuster: Austin Wells, 844-458-4300 ext. 60147.

2. Get the CSLB suspension date. License #993442 is currently SUSPENDED for an unpaid civil judgment. Screenshot the record today (cslb.ca.gov). Call CSLB 800-321-2752 for the effective date. If it predates the June-July payment demands, he solicited payment while suspended.

3. Pay nothing further and sign nothing further until a construction attorney reviews the suspension. Under B&P Code 7031 an unlicensed/suspended contractor generally cannot collect for that period, and amounts already paid may be recoverable.

4. Call State Farm about the \$12,800 engineering fee. Charles said he will submit owner-upgrade drawings to State Farm as a claim supplement AFTER billing Anne for them. Claims go in under Anne's name. Tell Austin Wells these were owner-paid upgrade costs.

5. Confirm whether the \$32,000 check cleared (left at house Jul 23). If it cleared while he wrote 'we have not yet received your bank wire' emails, that is one more documented misrepresentation.

1. DOCUMENTED DECEPTION (contradicted by records in hand)

1.1 License displayed while suspended. Every email footer and contract shows CSLB #993442. The license record currently reads: "License is suspended for failure to comply with an outstanding civil judgment." Workers' comp is classified code 9008 (Janitorial Services) while crews perform framing, stucco, plumbing, and roof work. Injury on site could become a homeowner problem.

1.2 False claim of completed cleanup (Gary, Jul 21). "I had the stucco guys go back and clean up... and was sent these pictures the day they were there cleaning." Anne documented on Jul 19 that the plasterer never came and Daniel did the cleaning himself. Gary claimed credit, with photos, for work your side performed.

1.3 False claim of completed plumbing (Charles, Jul 20). "Our understanding is that this work has already been completed." Anne had written the day before that the fridge water line was NOT installed. That line is also billed twice: inside CO2's \$3,845 plumbing scope (ice-maker rough-in) and again in CO3 as \$850 "relocate refrigerator water line." Fridge electrical is similarly doubled: CO2 \$950 and CO3 \$1,050. Billed twice, installed zero times as of mid-July.

1.4 Three conflicting amounts for one debt, then stonewalling. Jun 30 demand: \$38,159.84. Invoice #6780972: \$39,917.96 (\$23,000 + \$16,917.96). His own stated policy (Jul 7): "invoice 50% of each change order on approval," which computes to \$28,908.99. Only the \$16,917.96 reconciles (CO2 lines 5,6,7,9,10 = \$14,098.30 x 1.2, verified). Asked for a derivation, he replied "It's stated on the invoice what we are invoicing." One dunning email opens "Hi Anju", another customer's name; these are recycled templates.

1.5 Feigned non-receipt of payment (Aug 5). "We have not yet received your bank wire. Could you please confirm if it has been sent?" Anne sent the wire confirmation into the same thread Jul 23: \$6,979.92 to the exact Wells Fargo account and routing number Charles supplied, plus the \$32,000 check. He asked a question he had the documented answer to, and used it to build a "payment delays" narrative. Total paid Jul 23: \$38,979.92, matching Anne's stated figure.

1.6 Fabricated delay causes. Aug 5 blames "city inspection corrections, scope changes, payment delays, and late material selections." The record: the 7/10 completion date (reaffirmed in CO3, signed Jun 23) was blown before any payment was late; Anne states, un rebutted, that no scope changes occurred; the tile selection was requested and provided in early August; the site sat idle for long stretches. On Jul 20 he told Anne to ask State Farm herself for an extension for a delay his company created. Timeline slid 7/10 to 7/31 to Sept 11 with no documented cause.

1.7 Misstated insurance paint scope (Aug 7). Charles listed kitchen, family room, hallway, laundry. The approved estimate ALSO pays seal + paint in the Entry Hall, Closet, 1/2 Bath, and Stairs, and notes "seal and paint is needed throughout to cover smoke smell." "Matched to existing colors" appears nowhere in the estimate; it pays quantities (1 seal + 1 finish coat per room), so color-change upcharges are only legitimate where extra coats or cut lines are actually needed.

2. DECEPTIVE PATTERN, ONE DOCUMENT SHORT OF PROOF

2.1 The \$12,800 engineering double-track. CO2 billed Anne \$12,800 for drawings for HER upgrades (wall removal, skylight), plus 20% markup, even though CO2's own assumptions say plans/permits are excluded. Jul 20: Charles says he will submit the drawings to State Farm for coverage. If both pay, that is double recovery, submitted under Anne's policy with the fraud warning printed on it. Demand the engineer's actual invoice.

2.2 "Cost savings reflected in your change order." Anne asked whether the 25-30% Floor & Decor July 4th promotion was passed through. Charles asserted savings while (per Anne's un rebutted Aug 3 email) telling Daniel they "do not make materials costs transparent or provide receipts." An uncheckable assurance by design. Demand receipts; CA law supports access to backup on cost-plus billings.

2.3 CO5 signature pressure with undisclosed costs. Daily Adobe Sign reminders to sign CO5 while the tile/countertop pricing inside its scope was withheld. CO3 promised countertop pricing "once obtained" in June; still not provided in August. Sign-first, price-later is the operating system here.

2.4 Open-ended charges. "Taxes, insurance, permits & fees: AS INCURRED" with no cap and no receipts policy; \$2,403.60 billed for 24 hours of project supervision while the site sat idle; 20% O&P; layered on pass-through engineering.

3. THE MONEY MAP (all figures verified computationally)

Contract build-up	
Original contract	\$54,448.97
CO1 (insurance supplement, 11/28/25)	+ \$7,012.90
CO2 (owner upgrades, 12/11/25)	+ \$57,817.97
CO3 (plumb/elec/cabinets, 6/16/26)	+ \$4,380.00
Current contract (CO4/CO5 not in hand)	\$123,659.84
Insurance side	
State Farm approved RCV (incl. \$3,685 code)	\$61,461.87
= Original + CO1 exactly. Fully reconciled.	
Check May 2, 2025 (cashed)	\$54,187.10
Check Feb 4, 2026 (UNCASHED)	\$7,274.77
Check Apr 10, 2025 (cashed; NOT credited in dwelling claim; identify what it paid)	\$6,960.28
Owner out-of-pocket side	
CO2 + CO3 owner obligation	\$62,197.97
Paid Jul 23: \$32,000 check + \$6,979.92 wire	\$38,979.92

The change-order arithmetic itself is internally consistent to the penny. The problem is not the addition; it is what is being added: overlapping scopes, undisclosed prices, unverifiable claims, and invoices that match no stated basis.

4. WHAT DRY1OUT STILL OWES YOU (all documented)

- Countertop upgrade price, promised in CO3 (June) "once obtained." Must be NET of the insurance laminate allowance (~\$1,850) or they collect twice.

- Written revised completion date. Contractual date 7/10/26 passed; slid to 7/31, then Sept 11, with no documented cause.
- Gurries Electrical sub-estimate (\$3,685 insurance bid item) and a scope-credit accounting for CO2/CO3 electrical and plumbing overlap.
- Engineer's actual invoice behind the \$12,800 fee, and hazmat lab report behind CO2's \$4,310.50 remediation line (CO2's own exclusions say asbestos/lead are excluded).
- Floor & Decor receipts proving promotion savings were passed through.
- Written statement of which invoice the \$6,979.92 wire and \$32,000 check were applied against.

5. NOT WORTH FIGHTING (so you keep credibility for what is)

The \$16,917.96 invoice component is contractually coherent (CO2 lines x 1.2 mirrors how CO2 was priced). Progress billing on signed change orders is normal. "Paint everything at once" is true and standard. Billing \$23,000 against the original contract is legitimate since Anne holds the insurance funds. Checks payable to "Anne E. Dekun & Umpqua Bank ISAOA-ATIMA" are standard mortgagee practice, not a red flag.

6. LEVERAGE SUMMARY

You hold: (a) a suspended-license contractor demanding payment in writing, (b) two written false claims of completed work, (c) double-billed line items across CO2/CO3, (d) an admitted no-receipts policy against a claimed cost-savings pass-through, (e) a threatened insurance submission of owner-paid costs, and (f) a blown contractual deadline with a fabricated cause list. Sequence: attorney first, CSLB suspension date second, State Farm call third, then the walkthrough. Do not reveal the license finding until counsel says how to use it; it is likely your single strongest card and you only get to play it once.

Sources: Change Orders 1-3 (Dry1out); State Farm estimate 05-80C1-98PC (9/30/25); State Farm payment records; CSLB license record #993442 (retrieved 8/10/26); email correspondence 6/30/26 - 8/7/26 (33 pp). This report is an analysis of documents provided; it is not legal advice. Confirm license status and legal strategy with a California construction attorney.